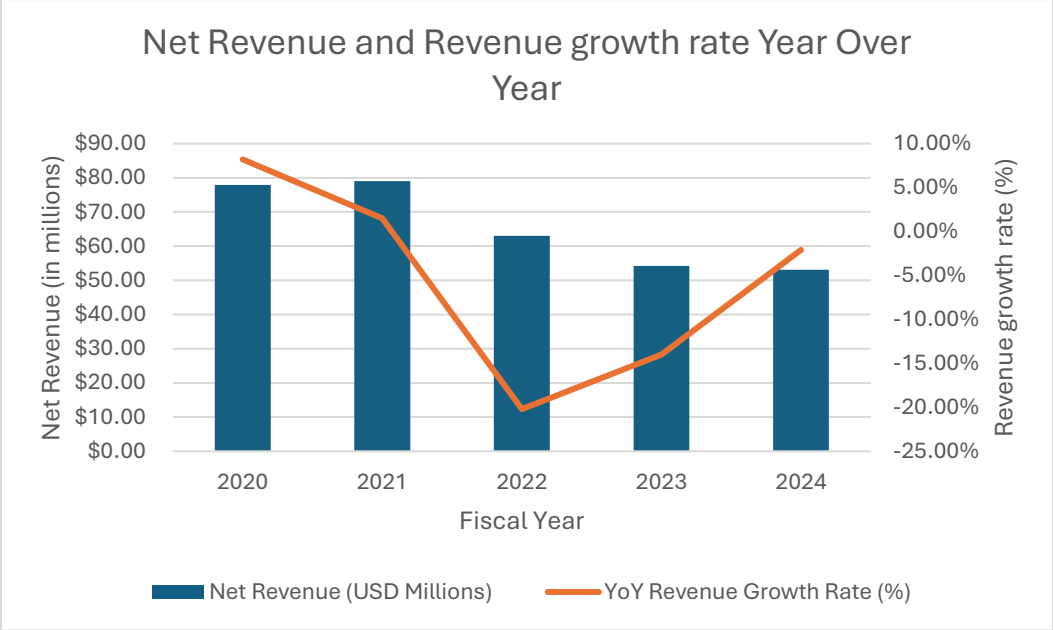
(a) Business Narrative:

From the year 2020 to 2024, Intel had shifted from addressing its manufacturing delays to executing its "IDM 2.0" strategy, to regain its semiconductor process leadership by delivering five nodes in four years as it's aim. As a result, the company turned its narrative toward "AI Everywhere" while making a massive capital investment to establish an outstanding world-class systems foundry for external customers and making it geographically diverse. In a motive to drive financial accountability, Intel implemented a structural shift to an "Intel Foundry" model which separated its manufacturing operations from its core product business units.

(b) Bar graph:



Key points:

Formula for Revenue growth rate = ((New Revenue – Old Revenue) / Old Revenue) * 100

Yoy: year over year growth rate.

(c) Following were the conclusions drawn by reading 'Notes to Financial Statements'.

1. The 'When' Question: Focus on timing of recognition in other words according to Intel's financial notes, revenue will be recognized when the control over goods gets transferred to customers.
    - Trigger Point- is referred to as the point of shipment where in Intel's sales the customer gains control over goods.
    - Explanation- Now the product leaves Intel's shipping deck it is considered that status of the sales is to be marked as 'completed' as the

customer now owns the right over the product and must take responsibility and accountability for it.

2. The ‘How’ Question: Focus on the method of recognition in other words this mentions the criteria that Intel use to ensure that the sales done is valid under the accounting standards.
    - Transfer of the Control- The revenue here is recognized by the contract with the customer and the specific performance obligation (delivering a processor).
    - Measurement- This records the revenue earned at ‘Transaction price’ they expect to receive in exchange for these products.
    - Top Focus- This represents the gross sales before any expenses are taken out. While Intel do adjust with this estimated return and incentives, the core recognition takes place at the moment the goods are on way to person who purchased.

Conclusion:

Through this we could jump to the conclusion that Intel recognizes revenue primarily at point of shipment. This is because right at the point of shipment the work of the Intel firm gets completed and the control shifts to the hands of the public. Through this Intel could claim that their work was completed and they have a legal right to be paid.

Appendix:

The sources which the reports and graph were extracted from are listed below:

2019 10 K Annual Report

2020 10 K Annual Report

2021 10 K Annual Report

2022 10 K Annual Report

2023 10 K Annual Report

2024 10 K Annual Report



intel%20assignment%201.xlsx